

Module 6

Financial Accounting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

In accordance with HKFRS 10 *Consolidated Financial Statements*, an investor controls an investee if and only if the investor has all the following:

- power over the investee;
- exposure, or rights, to variable returns from its involvement with the investee; and
- the ability to use its power over the investee to affect the amount of the investor's returns.

Power is further defined in HKFRS 10 as the existing rights that give the investor the current ability to direct the relevant activities, which are the activities that significantly affect the investee's returns.

In this case, as the relevant activities of Saiga have been directed by voting rights and Paddlefish holds a majority of the voting rights of Saiga, it is concluded that Paddlefish has power over Saiga.

Paddlefish is exposed to variable returns from its involvement with Saiga, such as, dividends declared from Saiga. Further, Paddlefish can use its voting rights to affect the amount of the dividends declared from Saiga. Paddlefish therefore controls Saiga after the acquisition of 55% of the ordinary shares of Saiga.

Answer 1(b)

Paddlefish Group

Consolidated statement of financial position as at 30 September 2022

	Paddlefish	Saiga	Adjustments			Consolidated	
	HK\$'000	HK\$'000		Dr.	Cr.	HK\$'000	
				HK\$'000	HK\$'000		
<u>ASSETS</u>							
Property, plant and equipment	620,000	79,480	CJ3	100	400	CJ3	699,180
Goodwill	-	-	CJ1	1,280			1,280
Intangible asset	-	-	CJ1	1,800	1,500	CJ2	300
Investments	60,000	8,200			56,170	CJ1	12,030
Current assets	54,300	26,020					80,320
Total assets	734,300	113,700					793,110
<u>EQUITY AND LIABILITIES</u>							
Share capital	89,000	44,000	CJ1	44,000			89,000
Retained earnings, 1 October 2021	582,000	62,000	CJ1	54,000	540	CJ2	585,740
			CJ2	1,200			
			CJ5	3,600			
Profit for the year	21,500	3,900	CJ2	300	135	CJ2	22,325
			CJ3	400	180	CJ3	
			CJ3	45	100	CJ3	
			CJ4	990			
			CJ5	1,755			
Dividends declared	(7,000)	(1,800)			1,800	CJ4	(7,000)
Retained earnings, 30 September 2022	596,500	64,100					601,065
Non-controlling interest			CJ2	540	44,910	CJ1	48,645
			CJ2	135	45	CJ3	
			CJ3	180	3,600	CJ5	
			CJ4	810	1,755	CJ5	
Total equity	685,500	108,100					738,710
Current liabilities	48,800	5,600					54,400
Total equity and liabilities	734,300	113,700					793,110

	HK\$'000	HK\$'000
CJ1: Pre-acquisition elimination entries		
Dr. Share capital	44,000	
Dr. Retained earnings, pre-acquisition	54,000	
Dr. Intangible asset	1,800	
Dr. Goodwill (W4)	1,280	
Cr. Investments (W1)		56,170
Cr. Non-controlling interest (B/S) (W3)		44,910
(W1): Consideration		HK\$'000
Cash consideration		44,170
Add: Deferred consideration [HK\$13,230K / (1 + 5%) ²]		12,000
Total consideration		<u>56,170</u>
(W2): Fair value of net identifiable assets		HK\$'000
Share capital		44,000
Retained earnings		54,000
Fair value adjustment – Intangible asset		1,800
Fair value of net identifiable assets		<u>99,800</u>
(W3): Non-controlling interest at the acquisition date		HK\$'000
Fair value of net identifiable assets (W2)		99,800
Proportionate share		45%
Non-controlling interest at the acquisition date		<u>44,910</u>
(W4): Goodwill		HK\$'000
Consideration (W1)		56,170
Add: Non-controlling interest at the acquisition date (W3)		44,910
Less: Fair value of net identifiable assets (W2)		<u>(99,800)</u>
Goodwill		<u>1,280</u>

	HK\$'000	HK\$'000
CJ2: Extra amortisation expense for fair value adjustment		
Dr. Amortisation expense (HK\$1,800K / 6)	300	
Dr. Retained earnings, 1 October 2021 (HK\$1,800K / 6 x 4)	1,200	
Cr. Intangible asset		1,500
Dr. Non-controlling interest (B/S) (HK\$1,200K x 45%)	540	
Cr. Retained earnings, 1 October 2021		540
Dr. Non-controlling interest (B/S) (HK\$300K x 45%)	135	
Cr. Non-controlling interest (P/L)		135

	HK\$'000	HK\$'000
CJ3: Upstream transfer of equipment		
Dr. Gain on disposal (W5)	400	
Cr. Property, plant and equipment (net)		400
(W5): Gain on disposal of equipment	HK\$'000	HK\$'000
Transfer price		3,600
Less: Carrying amount at the date of disposal		
Cost	4,000	
Less: Accumulated depreciation (HK\$4,000K / 5)	(800)	
Gain on disposal		400
Dr. Non-controlling interest (B/S) (HK\$400K x 45%)	180	
Cr. Non-controlling interest (P/L)		180
Dr. Accumulated depreciation	100	
Cr. Depreciation expense (HK\$400K / 4)		100
Dr. Non-controlling interest (P/L)	45	
Cr. Non-controlling interest (B/S) (HK\$100K x 45%)		45

	HK\$'000	HK\$'000
CJ4: Elimination of dividends declared		
Dr. Dividend income (HK\$1,800K x 55%)	990	
Dr. Non-controlling interest (B/S) (HK\$1,800K x 45%)	810	
Cr. Retained earnings – dividends declared		1,800

	HK\$'000	HK\$'000
CJ5: Share of profits to non-controlling interest		
Dr. Retained earnings, 1 October 2021	3,600	
Cr. Non-controlling interest (B/S) (W6)		3,600
(W6): Share of change in retained earnings in prior years to non-controlling interest		HK\$'000
Change in retained earnings recorded by Saiga (HK\$62,000K – HK\$54,000K)		8,000
Non-controlling interest %		45%
		<u>3,600</u>
Dr. Non-controlling interest (P/L) (HK\$3,900K x 45%)	1,755	
Cr. Non-controlling interest (B/S)		1,755

Alternatively, candidates may combine the share of the profits to the non-controlling interest as follows:

	HK\$'000	HK\$'000
For prior years:		
Dr. Retained earnings, 1 October 2021	3,060	
Cr. Non-controlling interest (B/S)		3,060
		HK\$'000
Change in retained earnings recorded by Saiga (HK\$62,000K – HK\$54,000K)		8,000
Less: Extra amortisation expense (CJ2)		(1,200)
Adjusted change in retained earnings of Saiga		6,800
Non-controlling interest %		45%
		<u>3,060</u>
Dr. Non-controlling interest (P/L)	1,485	
Cr. Non-controlling interest (B/S)		1,485
		HK\$'000
Profit of Saiga for the year		3,900
Less: Extra amortisation expense (CJ2)		(300)
Less: Unrealised profit arising from upstream transfer of equipment (CJ3)		(400)
Add: Realised profit arising from upstream transfer of equipment (CJ3)		100
Adjusted profit of Saiga		3,300
Non-controlling interest %		45%
		<u>1,485</u>

Answer 1(c)

Profit attributable to the non-controlling interest in Saiga for the year ended 30 September 2022:

	HK\$'000
Profit of Saiga for the year	3,900
Less: Extra amortisation expense (CJ2)	(300)
Less: Unrealised profit arising from upstream transfer of equipment (CJ3)	(400)
Add: Realised profit arising from upstream transfer of equipment (CJ3)	100
Adjusted profit of Saiga	3,300
Share to non-controlling interest	45%
	<u>1,485</u>

Answer 2(a)

(W1): Annual depreciation of Property Z prior to the revaluation = (HK\$12,000K – HK\$8,000K) / 40 = HK\$100K

For the year ended 30 September 2021

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Depreciation expense (W1)	100	
Cr. Accumulated depreciation – Property Z		100

Carrying amount of Property Z on 30 September 2021, prior to the revaluation = HK\$12,000K – HK\$100K (W1) x 2 = HK\$12,000K – HK\$200K = HK\$11,800K

In accordance with HKAS 16 *Property, Plant and Equipment*, if an asset's carrying amount is increased as a result of a revaluation, the increase is recognised in other comprehensive income and accumulated in equity under the heading of revaluation surplus.

(W2): Revaluation surplus as at 30 September 2021 = HK\$12,560K – HK\$11,800K = HK\$760K

On 30 September 2021

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Accumulated depreciation – Property Z	200	
Dr. Property, plant and equipment – Property Z (HK\$12,560K – HK\$12,000K)	560	
Cr. Revaluation surplus (OCI) (W2)		760

(W3): Annual depreciation of Property Z, after the revaluation = (HK\$12,560K – HK\$8,000K) / (40 – 2) = HK\$120K

For the year ended 30 September 2022

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Depreciation expense (W3)	120	
Cr. Accumulated depreciation – Property Z		120

Antelope has a policy of transferring any revaluation surplus to retained earnings when the revalued asset is used. HKAS 16 states that the amount of the surplus transferred is the difference between:

- depreciation based on the revalued carrying amount of the asset; and
- depreciation based on the asset's original cost.

(W4): Amount of revaluation surplus transferred to retained earnings during the year ended 30 September 2022 = HK\$120K (W3) – HK\$100K (W1) = HK\$20K

For the year ended 30 September 2022

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Revaluation surplus (W4)	20	
Cr. Retained earnings		20

Answer 2(b)

Machine X

Annual depreciation = HK\$8,400K / 7 = HK\$1,200K

(W5): Depreciation expense from 1 October 2021 to 31 March 2022 = HK\$1,200K / 12 x 6 = HK\$600K

Carrying amount prior to disposal = HK\$8,400K – HK\$8,400 / 7 x 4.5 = HK\$8,400K – HK\$5,400K = HK\$3,000K

(W6): Loss on disposal = HK\$3,000K – HK\$2,800K = HK\$200K

Machine Y

(W7): Annual depreciation = HK\$3,600K / 4 = HK\$900K

Answer 2(c)

Antelope Limited

Statement of changes in equity for the year ended 30 September 2022

	Share capital HK\$'000	Retained earnings HK\$'000	Revaluation surplus HK\$'000	Total HK\$'000
1 October 2021	2,000	4,840	760 (W2)	7,600
Profit for the year	-	820 (W8)	-	820
Other comprehensive income	-	20 (W4)	(20) (W4)	-
Dividends	-	(500)	-	(500)
30 September 2022	<u>2,000</u>	<u>5,180</u>	<u>740</u>	<u>7,920</u>

(W8): HK\$2,640K (per question) – HK\$120K ((W3) in Answer 2(a)) – HK\$600K ((W5) in Answer 2(b)) – HK\$200K ((W6) in Answer 2(b)) – HK\$900K ((W7) in Answer 2(b)) = HK\$820K

Answer 2(d)

Antelope should disclose in its financial statements, for each class of property, plant and equipment (i.e., building and machine):

- the measurement bases used for determining the gross carrying amount (i.e., revaluation model for building and cost model for machine);
- the depreciation methods used (i.e., straight-line depreciation);
- the useful lives or the depreciation rates used (i.e., 40 years for building and a range of 4 to 7 years for machines);
- the gross carrying amount and the accumulated depreciation at the beginning and end of the period; and
- a reconciliation of the carrying amount at the beginning and end of the period showing additions (i.e., purchase of Machine Y), disposals (i.e., sale of Machine X), depreciation and increases or decreases resulting from revaluations (i.e. revaluation upwards of Property Z).

Answer 3(a)

A liability is defined in the *Conceptual Framework for Financial Reporting* as a present obligation of the entity to transfer an economic resource as a result of past events.

A provision is defined in HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets* as a liability of uncertain timing or amount.

Answer 3(b)

HKAS 37 states that there is a constructive obligation to restructure only if:

- (i) the entity has a detailed formal plan for the restructuring; and
- (ii) the entity has raised a valid expectation in those affected that it will carry out the restructuring.

HKAS 37 further suggests that a management or board decision to restructure taken before the end of the reporting period does not give rise to a constructive obligation at the end of the reporting period unless the entity has, before the end of the reporting period, either:

- (i) started to implement the restructuring plan; or
- (ii) announced the main features of the restructuring plan to those affected by it in a sufficiently specific manner to raise a valid expectation in them that the entity will carry out the restructuring.

As (i) Caterpillar has not started implementing the restructuring plan before 30 September 2022 and (ii) redundancy notices were only sent to relevant staff members after year-end date (i.e., 7 October 2022), no constructive obligation existed at 30 September 2022 and therefore no provision was recognised in the financial year ended 30 September 2022.

Answer 3(c)

A qualifying asset is defined in HKAS 23 *Borrowing Costs* as an asset that necessarily takes a substantial period of time to get ready for its intended use or sale.

In accordance with HKAS 23, an entity capitalises borrowing costs that are directly attributable to the acquisition, construction, or production of a qualifying asset as part of the cost of that asset.

An entity recognises other borrowing costs as an expense in the period in which it incurs them.

Answer 3(d)

The Loan is a specific borrowing in HKAS 23.

For a specific borrowing, the amount of borrowing costs eligible for capitalisation on the asset is determined as the actual borrowing costs incurred on that borrowing during the period, less any investment income on the temporary investment of funds derived from those borrowings.

Capitalisation of borrowing costs commences when the entity:

- (i) incurs expenditures for the asset; and
- (ii) undertakes activities that are necessary to prepare the asset for its intended use or sale; and
- (iii) incurs borrowing costs.

In this case, Caterpillar started capitalising the borrowing costs of the Loan on 1 July 2022, as it commenced the construction of Machine W and started incurring expenditures for Machine W on 1 July 2022. Further, the Loan was fully drawn down on 1 July 2022 and therefore Caterpillar started incurring borrowing costs on 1 July 2022.

The interest expense incurred during the period from 1 July 2022 to 30 September 2022 was HK\$50,000 ($\text{HK\$4,000,000} \times 5\% \times 3 / 12$). Interest income earned from temporary investment of the surplus funds from the Loan was HK\$24,000. The interest income and the interest expense on the same borrowing was "setoff" so that the net interest expense, amounting to HK\$26,000 ($\text{HK\$50,000} - \text{HK\$24,000}$) was capitalised to the qualifying asset, which is in this case Machine W.

Answer 4(a)

A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership of an underlying asset. Whether a lease is a finance lease or an operating lease depends on the substance of the transaction rather than the form of the contract. HKFRS 16 *Leases* lists out some situations that individually or in combination will normally lead to a lease being classified as a finance lease, and the following is relevant in this case:

- The lease term is for the major part of the economic life of the underlying asset: The economic life of Model XXI is 6 years while the lease term is 5 years. The lease term is therefore for the major part of the economic life of Model XXI.
- At the inception date, the present value of the lease payments amounts to at least substantially all of the fair value of the underlying asset: The present value of the lease payments (excluding the unguaranteed residual value) of HK\$198,000 per year for five years discounted at 8.5% is HK\$780,247. This is about 87% of the fair value of Model XXI and can be considered as substantially all of the fair value of Model XXI.

Answer 4(b)

In accordance with HKFRS 16, at the commencement date, a lessor recognises assets held under a finance lease in its statement of financial position and presents them as a receivable at an amount equal to the net investment in the lease.

Gross investment in the lease at the commencement date = HK\$1,170,068 (HK\$198,000 x 5 + HK\$180,068).

Net investment in the lease at the commencement date = HK\$900,000, calculated as follows:

Date	Nature	Amount			Discounted amount
30 Sept 2023	1 st rental payment	HK\$198,000	/	$(1 + 8.5\%)$	= HK\$182,488
30 Sept 2024	2 nd rental payment	HK\$198,000	/	$(1 + 8.5\%)^2$	= HK\$168,192
30 Sept 2025	3 rd rental payment	HK\$198,000	/	$(1 + 8.5\%)^3$	= HK\$155,016
30 Sept 2026	4 th rental payment	HK\$198,000	/	$(1 + 8.5\%)^4$	= HK\$142,871
30 Sept 2027	5 th rental payment	HK\$198,000	/	$(1 + 8.5\%)^5$	= HK\$131,679
	Unguaranteed residual value	HK\$180,068	/	$(1 + 8.5\%)^5$	= HK\$119,753
Total					HK\$900,000 (rounded)

Total finance income over the 5 years = HK\$270,068 (HK\$1,170,068 – HK\$900,000).

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